

INFLATION

WHY THINGS COST
MORE EVERY YEAR

Learning about money and prices



What is Inflation?

Inflation means things get more expensive over time. It's why your favorite candy costs more than last year!

Your pocket money could buy more candy years ago!

Prices of toys, snacks, and games go up slowly each year.

The same money buys fewer things as prices rise.



Why Do Prices Go Up?

Materials and ingredients cost more to make things.
Workers need higher pay to live and support families.
More people want things than shops can supply.
Transportation and fuel prices increase costs.





Candy Prices Over Time

Ladoo: ₹5 before → ₹10 now!

Chocolates: ₹2 before → ₹5 now!

Candy costs more today than a few years ago!

Toys and Games Get Pricier Too

Toys can cost more because making them costs more. Materials, workers, and shipping all add to the price over time.

A board game cost ₹200 a few years ago.

The same game might cost ₹300 today!

Cricket bats, dolls, and puzzles all get pricier.

Old price vs new price shows inflation at work.



Food Prices Are Rising

Have you noticed that groceries cost more than before? Food prices go up when farms have fewer crops or when fuel costs rise. This affects what families can buy.

**Rice bags cost more at the shop now.
Vegetables like tomatoes and onions change prices often.
Your favorite snacks may cost a few rupees extra.
Transporting food to markets costs more too.**





How Inflation Affects Families

Meet the Sharma family! Every month, they go shopping for groceries. But lately, they've noticed something strange — their shopping cart looks the same, but they're paying more!

Family needs to spend more money on the same things.

Parents have to plan their budget more carefully.

Families sometimes buy less or choose cheaper items.

Pocket money may buy fewer things than before.



Pocket Money and Inflation

Last year, Rs. 10 could buy 2 candies.

This year, Rs. 10 might buy only 1 candy!

Money's value changes with inflation.

Inflation Explained

What Happens to Money's Value?

When inflation happens, the value of money changes. The same Rs. 100 note you have today will buy fewer things next year than it does now.

Money can buy less when prices rise.

Same money, but less purchasing power!

Prices go up, but your rupees stay the same.

Rs. 100 long ago could buy many things, now fewer.



Inflation in India

India faced major price increases that affected everyone.

In 1991, prices in India rose a lot due to big economic changes.

Families had to spend much more on everyday items.

Many people had to change how they shopped and saved.



Inflation Today

More Recent Inflation Example

Have you noticed petrol prices changing on the boards at fuel stations? Or vegetables costing more at the market? These are examples of inflation happening right now!

Petrol prices have gone up a lot in recent years. When fuel costs more, trucks pay more to deliver goods. This makes vegetables and groceries more expensive too. When fuel costs go up, many prices go up too!



Let's Think!

If your pocket money buys less candy now, what could you do?

Save money for later

Buy less candy

Ask for more pocket money



Tips for Kids

How Can We Watch Prices?

Here are some fun ways you can notice inflation happening around you! Be a price detective and learn about money.

Look at candy prices next time you shop.

Ask parents about prices compared to last year.

Save money for things you really want.

Share what you learn with friends or family.



Summary Time!

What We Learned About Inflation

Let's remember the important things we discovered about why prices change over time!

Key learnings:

- Inflation means prices go up over time**
- Many reasons cause price increases**
- It affects families and pocket money**
- We can notice and learn about changes**



Keep Exploring!

You've learned so much about inflation! Keep noticing how prices change and talk to your family about money.

Now you know why things cost more each year!

Watch prices when you go shopping.

Save money and ask questions about prices.

Share what you learn with friends and family.





Thank You!

QUESTIONS? STORIES?

Thank you for learning about inflation!

Any questions or stories to
share?
Raise your hand!